

Financial Strategies at Credit Suisse and an adjunct professor of finance at Columbia Business School since 1993, is the author of four books on value investing and behavioral finance. In 2012, he published a brilliant book called “The Success Equation: Untangling Skill and Luck in Business, Sports and Investing,”²³ which provides a *tour de force* of the data on the tendency of return on invested capital to revert to the mean. His findings are instructive. Mauboussin’s research supports Graham’s view that, while some businesses do generate persistently high or low returns on invested capital beyond what chance dictates, there exists a strong tendency toward mean reversion in most businesses. For those businesses that do post sustainable high returns, Mauboussin could not prospectively identify the factors behind those sustainable high returns. In other words, they cannot predict which businesses will sustain high returns on capital and which will revert back to the mean, which is the average experience. Recall that Graham warned about constituting notions of “a good business” on the basis of a superior record:²⁴

Abnormally good or abnormally bad conditions do not last forever. This is true of general business but of particular industries as well. Corrective forces are usually set in motion which tend to restore profits where they have disappeared, or to reduce them where they are excessive in relation to capital.

Mauboussin observes that reversion to the mean is a powerful force, and it impacts return on invested capital as it does many other data series. The *mean* to which return on capital reverts is the cost of capital. Microeconomic theory dictates that high returns on invested capital attract competition that gradually drives down returns to the cost of capital until the industry participants can no longer earn an economic profit on average. Mauboussin demonstrated the reversion-to-the-mean phenomenon using data from 1,000 non-financial companies from 2000 to 2010. The chart in Figure 4.3 shows a clear trend toward nil economic profit, at which point return on invested capital equals the cost of capital.

Mauboussin counsels that we “should be careful not to over interpret this result because reversion to the mean is evident in any system with a great deal of randomness. We can explain much of the mean reversion series by recognizing the data are noisy.” He notes that any system combining skill and luck will exhibit mean reversion over time:²⁵

The basic idea is outstanding performance combines strong skill and good luck. Abysmal performance, in contrast, reflects weak skill and bad luck. Even if skill persists in subsequent periods, luck evens out across the participants, pushing results closer to average.